CERTIFIED TRUE COPY
For LARSEN & TOUBRO LIMITED
SUBRAMANIAN NARAYAN
COMPANY SECRETARY &
COMPLIANCE OFFICER
ACS-16354

CERTIFIED TRUE COPY
For L&T POWER DEVELOPMENT LIMITED
Company Secretary

SCHEME OF AMALGAMATION

BETWEEN

L&T POWER DEVELOPMENT LIMITED...Transferor Company

AND

LARSEN AND TOUBRO LIMITED...Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS

UNDER SECTIONS 230 TO 232 AND OTHER APPLICABLE PROVISIONS OF THE COMPANIES ACT, 2013

PART I – GENERAL

1. DESCRIPTION OF THE PARTIES

1.1 **L&T Power Development Limited** is an unlisted public limited company, incorporated under the Companies Act, 1956 on September 12, 2007, with corporate identification number U40101MH2007PLC174071 and having its registered office at L&T House, Ballard Estate, Mumbai City, Mumbai, Maharashtra, India, 400001 (the "**Transferor Company**"). The Transferor Company was incorporated as the power development arm of Larsen & Toubro Limited with an objective of developing, investing in, operating and maintaining power generation projects, electrical transmission lines and electricity distribution networks and companies.

1.2 **Larsen & Toubro Limited** is a listed public limited company, incorporated under the Companies Act, 1913 on February 7, 1946 with corporate identification number L99999MH1946PLC004768 and having its registered office at L&T House, Ballard Estate, Mumbai, Maharashtra, India, 400001 (the "**Transferee Company**"). The equity shares of the Transferee Company are listed on the Stock Exchanges (*as defined hereinafter*) and its Non-Convertible Debentures are listed on NSE (*as defined hereinafter*). The Commercial Papers of the Transferee Company are listed on BSE (*as defined hereinafter*) and its Global Depository Receipts are listed on the Luxembourg Stock Exchange and admitted for trading on the London Stock Exchange. The Transferee Company is a diversified Industrial Conglomerate carrying businesses spanning construction, engineering, manufacturing,

technology and global infrastructure and industrial machinery and products addressing critical needs in key sectors of the economy like infrastructure, precision engineering, hydrocarbon, heavy engineering, power, ship building, aerospace, mining and minerals.

1.3 The Transferor Company is the wholly owned subsidiary of the Transferee Company.

2. DESCRIPTION OF THE SCHEME:

2.1 The Scheme (*as defined hereinafter)* provides, *inter alia,* for:

(a) the Transferor Company to be amalgamated into the Transferee Company, by way of merger, followed by the dissolution without winding up of the Transferor Company and the consequent cancellation of equity shares held by the Transferee Company in the Transferor Company, pursuant to Sections 230 to 232 and other relevant provisions of the Act (*as defined hereinafter*) in the manner provided for in this Scheme ("**Amalgamation**"); and

(b) various other matters consequential, incidental, supplemental and/or otherwise integrally connected with the above;

each in the manner as more particularly described in this Scheme.

2.2 The Amalgamation of the Transferor Company into the Transferee Company in accordance with this Scheme will be in compliance with Sections 230 to 232 and other relevant provisions of the Act and Section 2(6) of the Income Tax Act *(as defined hereinafter)*, such that:

(a) upon coming into effect of the Scheme and with effect from Appointed Date, the Undertaking of the Transferor Company shall be transferred to and vested in and/or be deemed to have been transferred to and vested in the Transferee Company, as a going concern, by virtue of the Amalgamation.

(b) Since the Transferor Company is a wholly owned subsidiary of the Transferee Company, upon this Scheme becoming effective, all the shares held by the Transferee Company in the Transferor Company will stand cancelled without any further application, act or deed. It is clarified that no new shares or other equity interests shall be issued or payment made in cash or kind whatsoever as consideration by the Transferee Company in lieu of the shares held by it in the Transferor Company.

2.3 If any terms or provisions of the Scheme are found to be or interpreted to be inconsistent with the provisions of Section 2(6) of the Income Tax Act at a later date, whether as a result of a new enactment or any amendment or coming into force of any provision of the Income Tax Act, or any other law, or any judicial or executive interpretation, or for any other reason whatsoever, the provisions of the Tax Laws (*as defined hereinafter*) shall prevail and this Scheme shall accordingly stand modified to the extent necessary, to comply with the said provisions of the Income Tax Act. Such modification will however, not affect the other parts of the Scheme. For the avoidance of doubt, nothing in this Scheme shall be construed as granting or assuring any exemption, relief or other benefit under the Income Tax Act or any other Tax Laws beyond what is otherwise available under Applicable Law, and all Tax consequences of the Amalgamation shall be determined in accordance with such Applicable Laws, including the provisions relating to set-off, carry-forward, assessment and the General Anti-Avoidance Rules, where applicable.

LARSEN & TOUBRO LIMITED * MUMBAI *

L&T TOWER DEVELOPMENT LIMITED

3. RATIONALE FOR THE SCHEME:

3.1 The Transferor Company was incorporated in September 2007 as a wholly-owned subsidiary of Larsen & Toubro Limited with the primary objective of holding and pursuing investments and opportunities in the operating and maintaining power generation projects. Over time, as part of the Transferee Company's strategic realignment and business portfolio rationalization, the investments and interests held by the Transferor Company in the power sector were curtailed and have accordingly been divested over the past few years. Consequently, the Transferor Company no longer carries on any substantive business operations and the purpose for which it was originally established has substantially ceased to exist. In these circumstances, the Transferee Company considers it appropriate and commercially expedient to consolidate the residual assets and liabilities of the Transferor Company, which is a wholly owned subsidiary of the Transferee Company, pursuant to the Amalgamation, thereby simplifying the group structure. Therefore, the Scheme would be in the best interest of the Companies (*as defined hereinafter*) and their respective shareholders, employees, creditors and other stakeholders for the following reasons:

(a) As the Transferor Company has ceased to carry on its core business operations and is an intermediate company, the residual assets, investments and contractual and other rights and obligations will seamlessly vest in the Transferee Company resulting in enhanced operational clarity and legal certainty.

(b) It will rationalise administrative efforts and functions, streamline the management structure, improve organisational capability, and foster faster and more effective decision-making;

(c) It will centralise all pending litigations, claims and contingent liabilities associated with the power development portfolio at the Transferee Company's level, thereby aligning such exposures with the Transferee Company's stronger balance sheet, governance and risk-management framework;

(d) It will achieve a reduction in overheads, including administrative and managerial expenditures, and reduce the multiplicity of legal and regulatory compliances required to be carried out by separate entities;

(e) It will simplify the group structure, ensuring an optimised corporate holding structure that is better aligned with current business requirements; and

(f) The Scheme is commercially and economically viable, feasible, fair and reasonable.

In view of the aforesaid, the Boards of the respective Companies have considered and proposed the Scheme in order to benefit all stakeholders of the Companies and have formulated this Scheme.

4. PARTS OF THE SCHEME

This Scheme is divided into the following parts:

(a) **Part I**, deals with the background of the Companies, rationale of the Scheme, definitions and sets out the share capital details of the Companies;

(b) **Part II**, deals with the Amalgamation of the Transferor Company with the Transferee Company; and

LARSEN & TOUBRO LIMITED * MUMBAI *

L&T POWER DEVELOPMENT LIMITED

(c) **Part III**, deals with the dissolution without winding up of the Transferor Company, accounting treatment and general terms and conditions applicable to this Scheme.

5. DEFINITIONS:

In the Scheme, unless repugnant to the meaning or context thereof, (a) capitalized terms defined by inclusion in quotations and/ or parenthesis have the meaning so ascribed; and (b) the following expressions shall have the following meanings respectively assigned against them:

(a) "**Act**" means the Companies Act, 2013 and the rules and regulations made thereunder, as amended from time to time, and shall include any statutory modification or re-enactment thereof for the time being in force;

(b) "**Amalgamation**" has the meaning ascribed to it in Clause 2.1(a) hereof;

(c) "**Applicable Law(s)**" means any applicable approval, bye-law, clearance, decree, directive, guideline, judgment, law, circular, notification, order, ordinance, regulation, requirement, rule, rule of law, policy, statute, or any similar form of determination by or decision of any Governmental Authority, or any interpretation or an adjudication having the force of law of any of the foregoing, that is binding on or applicable to a person, whether in effect as of the date on which this Scheme has been approved by the Boards of the Companies or at any time thereafter, including but not limited to any modification or re-enactment thereof for the time being in force, whether in or outside India;

(d) "**Appointed Date**" means April 1, 2026 or such other date as may be mutually agreed by the Boards of the Companies and conveyed to the NCLT, in writing;

(e) "**Board**" in relation to each of the Transferor Company and the Transferee Company, as the case may be, means the board of directors of each of the Companies in office at the relevant time, and, unless it be repugnant to the context, shall include a committee of the Board thereof and or persons, duly constituted and authorised for the purposes of matters pertaining to the Amalgamation, the Scheme and/ or any other matter relating thereto;

(f) "**Companies**" means the Transferor Company and the Transferee Company collectively and "**Company**" means any one of them as the context may require;

(g) "**Effective Date**" means the date on which the last of the conditions and matters referred to in Clause 23 have occurred or have been fulfilled or (to the extent permissible under Applicable Laws) waived, as applicable in accordance with this Scheme. This Scheme shall be operative as on the Effective Date, in its present form or without any modification(s), approved or directed by the NCLT or any other Governmental Authority and shall become effective from the Appointed Date, as defined in Section 232(6) of the Act in terms of the respective parts of this Scheme. References in this Scheme to "**upon the Scheme becoming effective**" or "**effectiveness of this Scheme**" or "**coming into effect of this Scheme**" shall be construed as references to the Effective Date;

(h) "**Encumbrance**" means

(i) any options, equitable interest pledge, mortgage, lien, security interest, claim, charge (whether fixed or floating), pre-emptive right, easement, assignment, license, lease, sub-lease, hypothecation or other possessory

LARSEN & TOUBRO LIMITED MUMBAI

L&T POWER DEVELOPMENT LIMITED

interest, deed of trust, limitation, title defect or retention, attachment, restraint, deposit by way of security or security interest, securing or conferring any priority of payment in respect of any obligation of any person, including any right granted by a transaction which, in legal terms, is not the granting of security but which has an economic or financial effect similar to the granting of security under Applicable Laws or any other right to acquire or option, public right, common right, easement rights, any attachment, restriction on use, transfer, receipt of income or exercise of any other attribute of ownership, right of set-off , any other interest held by a third party, any right of first refusal or any right of preemption, or any other encumbrance or interest of any kind or nature whatsoever, and the term "**Encumbered**" shall be construed accordingly;

(ii) any voting agreement, beneficial ownership (including usufruct and similar entitlements), interest, option (including call commitment), right of first refusal/offer, option, or transfer restriction or other encumbrance of any kind or nature whatsoever or any other interest held by a third person, conditional sale contracts;

(iii) any adverse claim as to title, possession or use; and/ or

(iv) any agreement, conditional or otherwise, to create any of the foregoing;

(i) "**Governmental Authority**" means any governmental, statutory, regulatory, administrative, fiscal, judicial or quasi-judicial authority, body, agency, department, commission, board, bureau, branch, instrumentality, public body, political subdivision or other entity, whether in India or outside India, including:

(i) any national, commonwealth, federal, state, provincial, territorial, regional, district, municipal, local or other government or political subdivision thereof;

(ii) any authority, agency, department, commission, board, bureau, branch, instrumentality, public body or other entity of any government or political subdivision thereof authorised to make, administer or enforce laws, rules, regulations, standards, requirements, procedures, directions or orders having the force of law;

(iii) any court, tribunal, arbitral tribunal or other judicial, quasi-judicial or adjudicatory body having jurisdiction, including the NCLT and the NCLAT;

(iv) any recognised stock exchange, self-regulatory organisation or any non-governmental regulatory or administrative authority, body or organisation, to the extent that its rules, regulations, standards, requirements, procedures, directions or orders have the force of law;

(v) any person or body exercising executive, legislative, judicial, regulatory or administrative functions (including any delegated authority or function) under or pursuant to Applicable Law; and

(vi) where applicable, the Registrar of Companies, the Regional Director, the Ministry of Corporate Affairs, Ministry of Power, the Securities and Exchange Board of India, the Reserve Bank of India, the Official Liquidator, and any other sectoral regulator or authority having

jurisdiction;

(j) "**Income Tax Act**" means the Income Tax Act, 2025 and/or the Income Tax Act, 1961, as may be applicable, and shall include any statutory modification(s), re-enactment(s) or amendment(s) thereof to the extent in force read with the relevant by-laws, rules, regulations, orders, ordinances, directions including circulars and notifications and similar legal enactments, in each case issued thereunder;

(k) "**Indian Accounting Standards**" means the Indian Accounting Standards notified under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as may be amended from time to time;

(l) "**Intellectual Property**" means all intellectual property rights of any nature whatsoever, past, present, and future rights of the following types, which may exist or be created under the laws of any jurisdiction including:

(i) rights in information (including know-how, confidential information and trade secrets) and the right to use, and protect the confidentiality of, confidential information;

(ii) trademarks, service marks, rights in logos, brand names, trade and business names, rights in each of get-up and trade dress and all associated goodwill, rights to sue for passing off and/or for unfair competition and domain names;

(iii) copyright, moral rights and related rights, rights in computer software, database rights, and rights in designs;

(iv) marketing authorization, approvals, marketing intangibles, permits, permissions, incentives, privileges, special status, designs, research and studies;

(v) digital platforms, algorithms, domain names, applications (including hardware, software, licenses and scripts), social media accounts, handles and related content;

(vi) lists of present and former customers and suppliers, other customer information, copies of employment information, including but not limited to personnel files (including hiring documents, reference checks, existing employment contracts, policies, handbooks and documents reflecting changes in an employee's position, compensation, benefits, or other terms of employment), payroll records, documents relating to past or ongoing leave of absence, on the job injuries or illness, or fitness for work examinations, disciplinary records, related supervisory files and all forms, notifications, orders and contribution/identity cards issued by the concerned authorities and all other records and documents;

(vii) patents, patent applications, invention disclosures, and any rights in technical data, drawings, processes, or methodologies;

(viii) any other intellectual property rights; and

(ix) all rights or forms of protection, subsisting now or in the future, having equivalent or similar effect to the rights referred to in paragraphs (i) to (viii) above, in each case: (a) anywhere in the world; (b) whether

unregistered or registered (including all applications, rights to apply and rights to claim priority); (c) whether owned, licensed or otherwise; (d) whether in physical or electronic form and (e) including all divisionals, continuations, continuations-in-part, reissues, extensions, renewals;

(m) "**Liabilities**" means all outstanding debts, borrowings and liabilities of the Transferor Company including all secured and unsecured debts (whether in Indian rupees or foreign currency), liabilities (including trade payables, contingent liabilities, deferred Tax liabilities and obligations under any licenses or permits or schemes), loans raised/ used, sums which are refundable, sums which are payable as compensation, damages, interest, delay charges, fine, penalty, or settlement amount, duties, commitments and obligations of the Transferor Company of every kind, nature and description whatsoever, whether or not recorded in the books of accounts or disclosed in the balance sheet, whether present or future, and howsoever arising, raised, incurred or utilised for its business activities and operations along with any charge, Encumbrance, lien or security thereon, if any;

(n) "**NCLT**" means the National Company Law Tribunal at Mumbai, having jurisdiction in relation to the Companies and/or the National Company Law Appellate Tribunal ("**NCLAT**") as constituted and authorised as per the provisions of the Act for approving any scheme of arrangement, amalgamation, compromise or reconstruction of companies under Sections 230 to 232 of the Act and shall include, if applicable, such other forum or authority as may be vested with the powers of a tribunal for the purposes of Sections 230 to 232 of the Act;

(o) "**Registrar of Companies**" means the Registrar of Companies, Maharashtra situated at Mumbai;

(p) "**Scheme**" means this scheme of Amalgamation, in its present form as submitted to NCLT or this Scheme with such modifications, if any made, in accordance with the provisions hereof;

(q) "**Stock Exchanges**" means National Stock Exchange of India Limited ("**NSE**") and BSE Limited ("**BSE**"), collectively;

(r) "**Transferee Company**" has the meaning assigned to it in Clause 1.2 hereof;

(s) "**Transferor Company**" has the meaning assigned to it in Clause 1.1 hereof;

(t) "**Taxation**" (including with correlative meaning, the terms "**Tax**" and "**Taxes**") means any and all form of taxes (direct or indirect) including buy back tax, central sales tax, dividend distribution tax, goods and services tax ("**GST**"), value added tax ("**VAT**"), service tax, customs duty, excise duty, CENVAT, withholding tax, tax collected at source, advance tax, self-assessment tax, minimum alternate tax, banking cash transaction tax, securities transaction tax, stamp duty, transfer tax, registration fees, surcharges, cesses, levies, duties, tariffs, imposts, fees and other charges of any kind in the nature of a tax, imposed by any Governmental Authority (whether payable directly or by withholding), including taxes based upon or measured by income, profits, gross receipts, property, sales or transactions, together with any interest, penalties, fines, additions to tax or other amounts imposed in respect thereof, and any liability in relation to assets, capital gains, employment, entry, expenditure, gift, imports, income, interest, licensing, payroll, profession, property, sales, services, transfer, use, wealth or withholding, and any assessments, proceedings or claims relating thereto;

LARSEN & TOUBRO LIMITED * MUMBAI *

L&T POWER DEVELOPMENT LIMITED

(u) "**Tax Laws**" means all applicable laws, acts, rules and regulations dealing with Taxes, including, but not limited to, income Tax, wealth Tax, Customs Act, 1962, Central Excise Act, 1944, Central Goods and Services Tax Act, 2017, State Goods and Services Tax Act, 2017, Integrated Goods and Services Tax Act, 2017, Union Territory Goods and Services Tax Act, 2017, state sales tax laws, Central Sales Tax Act, 1956, service tax, or regulations dealing with taxes or duties or levies or any other levy of similar nature;

(v) "**Undertaking**" means the entire business and undertaking of the Transferor Company on a going concern basis, including but not limited to the following:

(i) all the assets and properties (whether movable or immovable, tangible or intangible, real or personal, in possession or in reversion, corporeal or incorporeal, present, future or contingent, of whatsoever nature) of the Transferor Company, including whether or not recorded in the books of accounts of the Transferor Company, without limitation, immovable assets; all investments of every kind, including shares, scrips, stocks, bonds, securities, debenture stocks, units, pass-through certificates and mutual fund units, and specifically including all investments held by the Transferor Company in its subsidiaries, associate companies, joint venture entities and other investee companies (whether listed or unlisted); cash and bank accounts (including bank balances and fixed deposits); actionable claims; contingent rights or benefits; capital work-in-progress; plant and machinery including all current assets (including sundry debts, bills of exchange, loans and advances, encompassing customer advances and payments received from customers and counterparties); benefits of any deposits, earnest monies, security deposits and advances paid by or deemed to have been paid by the Transferor Company; receivables; financial assets; unclaimed dividends, if any; deferred Tax assets; brought forward long term capital gains / losses; rights and benefits under any agreement; benefits of any security arrangements or under any guarantees; reversions; powers; share of any joint assets and other facilities; fixed and other assets; provisions; funds; benefits of assets or properties or other interests held in trust; registrations; contracts; engagements; arrangements of all kinds; privileges; credentials; past record; market share; and all other rights, benefits, interests, liberties and advantages of whatsoever nature and wheresoever situated, belonging to or in the ownership, power or possession and/or in the control of or vested in or granted in favour of or held for the benefit of or enjoyed by the Transferor Company;

(ii) all contracts, schemes, arrangements and agreements including but not limited to bids, tariff policies, expressions of interest, letters of intent, term sheets, agreements for right of way and other easementary rights, equipment purchase and supply agreements, engineering, procurement and construction contracts, construction contracts, operation and maintenance agreements, transmission service agreements, wheeling agreements, third-party sale agreements, deeds, bonds, insurance policies, insurance covers and claims, clearances, leases and licences, powers of attorney, deeds of indemnity/indemnity bonds, derivative contracts with banks (for meeting its foreign exchange risks) and other instruments of whatsoever nature and description, if any, whether written, oral or otherwise, as amended and restated from time to time, whether executed with customers, vendors, employees, suppliers, contractors, distribution companies, transmission companies, grid operators, lessors, licensors, consultants, advisors or otherwise, and orders/decrees/judgements/awards of any court, tribunal or

LARSEN & TOUBRO LIMITED * MUMBAI *

L&T POWER DEVELOPMENT LIMITED

statutory authority, to which the Transferor Company is a party or to the benefit of which the Transferor Company may be eligible;

(iii) all books, records, files, papers, product specifications, engineering drawings and layouts, process information, software licences (whether proprietary or otherwise), computer programs along with licences, mobile and web applications, software applications, data, records of standard operating procedures, databases including databases for procurement, commercial, operational and management purposes, catalogues, manuals and back-up copies, technical drawings and specifications, safety manuals, environmental impact assessments, grid and network diagrams, quotations, lists of suppliers and service providers, and all other books and records, whether in physical or electronic form, of the Transferor Company;

(iv) all Liabilities, whether or not recorded in the books and records of the Transferor Company;

(v) all Intellectual Property, whether registered or unregistered; and

(vi) all rights of action, legal or other proceedings of whatsoever nature, including quasi-judicial, arbitral and other proceedings, by or against the Transferor Company, which are capable of being continued by or against the Transferee Company under Applicable Law.

6. INTERPRETATION:

6.1 All terms and words used but not defined in this Scheme shall, unless repugnant or contrary to the context or meaning thereof, have the same meaning ascribed to them under the Act and where not defined in the Act, then in the Income Tax Act.

6.2 References to clauses, sub-clauses and recitals, unless otherwise provided, are to Clauses, sub clauses and Recitals of and to this Scheme.

6.3 The headings herein shall not affect the construction of this Scheme.

6.4 Unless the context otherwise requires, reference to any law or to any provision thereof shall include references to any such law or to any provision thereof as it may, after the date hereof, from time to time, be amended, supplemented or re-enacted, or to any law or to any provision which replaces it, and any reference to a statutory provision shall include any subordinate legislation made from time to time under that provision.

6.5 The singular shall include the plural and vice-versa; and references to one gender shall include all genders.

6.6 Any phrase introduced by the terms "**including**", "**include**", "**in particular**" or any similar expression shall be construed as illustrative and shall not limit the sense of the words preceding those terms.

6.7 Reference to a person includes any individual, firm, body corporate (whether incorporated or not), Governmental Authority, joint venture, association, partnership, works council or employee representatives body (whether or not having a separate legal personality).

6.8 The references to income-tax provisions in this scheme are to the *corresponding* provisions of Income Tax Act, 2025 unless expressly stated otherwise.

LARSEN & TOUBRO LIMITED * MUMBAI *

L&T DEVELOPMENT LIMITED

7. SHARE CAPITAL

7.1 Transferor Company

(a) The capital structure of the Transferor Company as on July 28, 2026 is as under:

A. Authorised Share Capital	Amount (in INR)
4,00,00,00,000 (four hundred crore) equity shares of INR 10 (Rupees Ten only) each.	40,00,00,00,000 (Rupees Four Thousand Crore only)

B. Issued, Subscribed and Paid-up Share Capital	Amount (in INR)
2,28,96,63,205 (Two hundred twenty-eight crore ninety-six lakh sixty-three thousand two hundred five) equity shares of INR 10 (Rupees Ten only) each.	22,89,66,32,050 (Rupees Two Thousand Two Hundred Eighty-Nine Crore Sixty-Six Lakh Thirty-Two Thousand Fifty only).

(b) The entire issued and paid-up share capital of the Transferor Company is held by the Transferee Company and its nominees.

7.2 Transferee Company

(a) The share capital structure of the Transferee Company as on July 28, 2026, is as under:

A. Authorised Share Capital	Amount (in INR)
40,37,25,00,000 (Rupees Four Thousand Thirty-Seven Crore Twenty-Five Lakh only) equity shares of INR 2 (Rupees Two only) each	80,74,50,00,000 (Rupees Eight Thousand Seventy-Four Crore Fifty Lakh only)

B. Issued, Subscribed and Paid- up Share Capital	Amount (in INR)
1,37,57,29,178 (One hundred thirty-seven crore fifty-seven lakh twenty-nine thousand one hundred seventy-eight) equity shares of INR 2 (Rupees Two only) each	2,75,14,58,356 (Rupees Two Hundred Seventy-Five Crore Fourteen Lakh Fifty-Eight Thousand Three Hundred Fifty-Six only)

LARSEN & TOUBRO LIMITED * MUMBAI *

TOMLER DEVELOPMENT LIMITED 1871

PART II - AMALGAMATION OF THE TRANSFEROR COMPANY INTO THE TRANSFEREE COMPANY

8. TRANSFER AND VESTING

Upon the coming into effect of the Scheme and with effect from the Appointed Date, the Transferor Company (including the Undertaking of the Transferor Company) shall, pursuant to the provisions of Sections 230 to 232 and other applicable provisions of the Act, if any, stand transferred to and vested in and/or be deemed to have been transferred to and vested in the Transferee Company, as a going concern in accordance with Section 2(6) and other applicable provisions of the Income Tax Act, without any further act, instrument, deed, matter or thing so as to become, as and from the Appointed Date, the undertaking, estate, assets, liabilities, properties, rights, claims, title, interest and authorities (including any accretions and appurtenances) of the Transferee Company, in the manner set out below, by virtue of and in the manner provided in this Scheme.

9. TRANSFER AND VESTING OF ASSETS

9.1 Without prejudice to the generality of the above, upon the coming into effect of this Scheme and with deemed effect from the Appointed Date, all the estates, assets, properties, rights, claims, title, interest and authorities (including accretions and appurtenances) of the Transferor Company of whatsoever nature and wheresoever situated, whether in or outside India, shall, under the provisions of Sections 230 to 232 of the Act and all other applicable provisions of the Applicable Laws, if any, without any further act or deed, be and stand transferred to and vested in the Transferee Company and shall be deemed to be transferred to and vested in the Transferee Company, as a going concern, so as to become, as and from the Appointed Date, the estates, assets, properties, rights, claims, title, interest and authorities including accretions and appurtenances of the Transferee Company.

9.2 Without prejudice to the provisions of Clause 9.1 above, in respect of such of the assets and properties of the Transferor Company, as are movable in nature (including shares and marketable securities) or incorporeal property or are otherwise capable of transfer by manual or constructive delivery or possession, or by endorsement and/ or delivery, the same shall stand so transferred by the Transferor Company upon the coming into effect of this Scheme, and shall become the assets and property of the Transferee Company with deemed effect from the Appointed Date pursuant to the provisions of Sections 230 to 232 of the Act and all other applicable provisions of the Applicable Laws, if any, without requiring any deed or instrument of conveyance for transfer of the same.

9.3 In respect of such of the assets and properties belonging to the Transferor Company (other than those referred to in Clauses 9.1 and 9.2 above) including sundry debtors, actionable claims, earnest monies, receivables, bills, credits (including Tax credits, to the extent permissible under applicable Tax Laws), loans, advances and deposits, if any, whether recoverable in cash or in kind or for value to be received, bank balances, investments (including branches outside India and its assets, and investments in subsidiaries, joint ventures and associate companies (whether in or outside India)), and deposits with any government, quasi government, local or other authority or body or with any company or other person, the same shall stand transferred to and vested and shall be deemed to have been transferred to and vested in the Transferee Company, without any further act, instrument or deed, cost or charge and without any notice or other intimation to any person, upon the coming into effect of this Scheme and with deemed effect from the Appointed Date, pursuant to the provisions of Sections 230 to 232 of the Act and all other applicable provisions of the Applicable Laws, if any, to the end and intent that the right of the Transferor Company to recover or realize the same stands transferred to the Transferee Company, and that appropriate entries may be passed in its books to record the aforesaid

change, without any notice or other intimation to such debtors, depositors or persons as the case may be. The Transferee Company may, at its sole discretion but without being obliged, give notice in such form as it may deem fit and proper, to such person, as the case may be, that the said debt, receivable, bill, credit, loan, advance or deposit stands transferred to and vested in the Transferee Company and be paid or made good or held on account of the Transferee Company as the person entitled thereto.

9.4 All assets, estates, rights, title, interest, investments, funds, authorities and properties of the Transferor Company as on the Appointed Date (not otherwise specified in Clauses 9.1 to 9.3 above), shall be deemed to be and shall become the assets and properties of the Transferee Company, and shall under the provisions of Sections 230 to 232 of the Act and all other applicable provisions of the Applicable Laws, if any, without any further act, instrument or deed, be and stand transferred to and vested in and be deemed to have been transferred to and vested in the Transferee Company upon the coming into effect of this Scheme and with deemed effect from the Appointed Date, pursuant to the provisions of Sections 230 to 232 of the Act and all other applicable provisions of the Applicable Laws, if any.

9.5 Without prejudice to the generality of the foregoing, with deemed effect from the Appointed Date, all the rights, title, interest and claims of the Transferor Company in respect of such assets which are immoveable in nature (including but not limited to the land, buildings, offices, sites, tenancy and easement rights related thereto, and other immovable property, including accretions and appurtenances), whether or not included in the books of the Transferor Company, whether freehold or leasehold (including but not limited to any other document of title, rights, interest, and easements in relation thereto) shall pursuant to provisions of Section 232 of the Act, without any further act or deed, or conveyance or agreement being required to be done or executed by the Transferee Company or the Transferor Company, and without payment of any consideration, be transferred to and vested in or be deemed to have been transferred to or vested in, the Transferee Company on the same terms and conditions as applicable to the Transferor Company. The Transferee Company shall, if and to the extent required under Applicable Law, be responsible for the payment of applicable stamp duty and / or registration charges, if any, in relation to such transfer and vesting.

9.6 All assets, estates, rights, title, claims, investments, funds, interest and authorities acquired by the Transferor Company after the Appointed Date and prior to this Scheme coming into effect, and forming part of the Undertaking of the Transferor Company, shall, under the provisions of Sections 230 to 232 of the Act and all other applicable provisions of the Applicable Laws, if any, also stand transferred to and vested or be deemed to have been transferred to or vested in the Transferee Company upon the coming into effect of this Scheme, without any further act, instrument or deed.

9.7 Without prejudice to the foregoing, the Transferee Company shall be entitled to deposit at any time after Effective Date, cheques received in the name of the Transferor Company, to enable the Transferee Company to receive the amounts thereunder. From the Effective Date and till such time that the names of the bank accounts of the Transferor Company including but not limited to balances with scheduled banks in current accounts and in deposit accounts are replaced with that of the Transferee Company, the Transferee Company shall be entitled to operate the bank accounts of the Transferor Company, in its name, in so far as may be necessary. Further, all other negotiable instruments, payment orders, electronic fund transfers like NEFT, RTGS etc., received or presented for encashment which are in the name of Transferor Company after the Effective Date by virtue of the NCLT order sanctioning this scheme shall be accepted by the banker(s)of the Transferee Company and credited to the account of Transferee Company, if presented by Transferee Company or received through electronic transfer. Similarly, the banker(s) of Transferee Company shall

LARSEN & TOUBRO LIMITED * MUMBAI *

L&T FOWLER DEVELOPMENT LIMITED

honour all cheques, electronic fund transfers, instructions issued by the Transferor Company for payment after the Effective Date.

9.8 All the licenses, permits, entitlements, approvals, permissions, registrations, right of way, clearances, incentives, consents, credits, certificates, awards, sanctions, allotments, quotas, no objection certificates, Tax deferrals, exemptions and benefits (including sales Tax, service Tax, VAT and GST), subsidies, concessions, grants, rights, claims, leases, tenancy rights, liberties, special status, pre-qualifications, bid acceptances, tenders and other benefits or privileges issued or granted to or enjoyed or conferred upon or held or availed of by the Transferor Company and all rights and benefits that have accrued or which may accrue to the Transferor Company, whether on, before or after the Appointed Date, including Tax benefits and exemptions, incentives and Tax holidays, shall, under the provisions of Sections 230 to 232 of the Act and all other applicable provisions of the Applicable Laws, if any, without any further act, instrument or deed, cost or charge be and stand transferred to and vest in and/or be deemed to be transferred to and vested in and be available to the Transferee Company so as to become licenses, permits, entitlements, approvals, permissions, registrations, incentives, consents, credits, certificates, awards, sanctions, allotments, quotas, no objection certificates, Tax deferrals, exemptions and benefits, subsidies, concessions, grants, rights, claims, leases, tenancy rights, liberties, special status, pre-qualifications, bid acceptances, tenders and other benefits or privileges of the Transferee Company and shall be appropriately mutated or endorsed by the Governmental Authorities concerned therewith in favour of the Transferee Company as if the same were originally given by, issued to or executed in favour of the Transferee Company, and shall remain valid, effective and enforceable on the same terms and conditions. To the extent of any duplication in any of the licenses, permits, entitlements, approvals, permissions, registrations, mentioned in this Clause 9.8, the Board of the Transferee Company shall, at its sole discretion, identify such licenses, permits, entitlements, approvals, permissions, registrations, etc., which shall be cancelled or surrendered in such manner as may be prescribed by Applicable Laws.

9.9 All trademarks, trade names, service marks, copyrights, logos, corporate names, brand names, design, domain names and all registrations, applications and renewals in connection therewith, software and all website content (including text, graphics, images, audio, video and data), trade secrets, research and studies, technical knowhow and all such other industrial or intellectual property rights of whatsoever nature and all other interests relating to the goods or services, confidential business information, and other proprietary information and intellectual property and rights of the Transferor Company, whether registered or unregistered and all rights of commercial nature including goodwill, title, interest, quality certifications and approvals, forming part of the Undertaking of the Transferor Company shall, upon the coming into effect of this Scheme and with deemed effect from the Appointed Date, under the provisions of Sections 230 to 232 of the Act and all other applicable provisions of the Applicable Laws, if any, stand transferred to and vested in the Transferee Company.

9.10 Upon the coming into effect of this Scheme and;

(a) with effect from the Appointed Date, all the existing and future incentives, unavailed tax credits, and other statutory benefits and deductions to the extent relating to direct Taxes and to the Undertaking and to the extent permissible under the Income Tax Act and other applicable Tax Laws, including under the Income Tax Act or the double Taxation avoidance agreements, deposits with statutory authorities, margin money, retention money, benefits, entitlements and incentives of any nature whatsoever, and other deposits and balances pertaining to the Transferor Company shall, under the provisions of Sections 230 to 232 of the Act and all other applicable provisions, if any, of the Act, without any further act,

LARSEN & TOUBRO LIMITED * MUMBAI *

L&T REALTY DEVELOPMENT LIMITED

instrument or deed, be and stand transferred to, and vested in, and/or be deemed to be transferred to, and vested in, the Transferee Company and any availability or utilisation of such items (including any carried forward losses) shall be determined in accordance with the provisions of the Income Tax Act and subject to assessment and appellate proceedings, where applicable;

(b) with effect from the Effective Date, all the existing and future incentives, unavailed credits, benefit of carried forward income tax losses and other statutory benefits, deductions available in respect of indirect Taxes, including unutilized input GST credits, VAT credit, unutilized VAT credit, deposits with statutory authorities, margin money, retention money, benefits, entitlements and incentives of any nature whatsoever including government grants on exports, and other deposits and balances pertaining to the Transferor Company shall, under the provisions of Sections 230 to 232 of the Act and all other applicable provisions, if any, of the Act, without any further act, instrument or deed, be and stand transferred to, and vested in, and/or be deemed to be transferred to, and vested in, the Transferee Company, to the extent permissible under the relevant indirect Tax Laws.

9.11 For the purpose of giving effect to the sanction orders passed by the NCLT under Sections 230 to 232 of the Act in respect of this Scheme, the Transferee Company shall, at any time pursuant to the orders on this Scheme, be entitled to get the recording of the change in the title and appurtenant legal right(s) upon the vesting of such Undertaking of the Transferor Company in the Transferee Company.

9.12 Without prejudice to the generality of the foregoing provisions of this Clause 9, in relation to the assets, rights, titles, or interests, if any, belonging to the Transferor Company, where separate documents of transfer would be convenient or expedient, one or more individuals authorized by the Transferor Company and/or the Transferee Company each may execute such deeds, documents or such other instruments or writings or create evidence, if any, as may be necessary.

10. TRANSFER AND VESTING OF LIABILITIES

10.1 Upon the coming into effect of this Scheme and with effect from the Appointed Date, the Liabilities, whether or not recorded in the books and records of the Transferor Company, shall, under the provisions of Sections 230 to 232 of the Act and other applicable provisions of Applicable Law, if any, without any further act, instrument, deed, matter or thing, cost or charge and without any notice or other intimation to any third party for the transfer of the same, be and stand transferred to and vested in and be deemed to have been transferred to and vested in the Transferee Company, to the extent they are outstanding on the Effective Date and shall become as and from the Appointed Date (or in case of any Liability incurred on a date after the Appointed Date, with effect from such date) the liabilities of the Transferee Company on the same terms and conditions as were applicable to the Transferor Company, and the Transferee Company shall meet, discharge and satisfy the same, and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such Liabilities have arisen in order to give effect to the provisions of this Clause 10.1.

10.2 Where any Liabilities of the Transferor Company as on the Appointed Date have been discharged by the Transferor Company on or after the Appointed Date and prior to the Effective Date, such discharge shall be deemed to be for and on account of the Transferee Company upon the coming into effect of this Scheme.

10.3 All Liabilities incurred or accrued or undertaken by the Transferor Company on or after the Appointed Date and prior to the Effective Date shall be deemed to have been raised, used,

incurred or undertaken for and on behalf of the Transferee Company and to the extent they are outstanding on the Effective Date, shall, upon the coming into effect of this Scheme and under the provisions of Sections 230 to 232 of the Act and other applicable provisions of Applicable Law, if any, without any further act, instrument or deed, cost or charge and without any notice or other intimation to any third party for the transfer of the same, be and stand transferred to and vested in and be deemed to have been transferred to and vested in the Transferee Company and shall become the loans and liabilities, duties and obligations of the Transferee Company, which shall meet, discharge and satisfy the same. Upon coming into effect of this Scheme, all loans, advances and other obligations (including any guarantees, letters of credit, letters of comfort or any other instrument or arrangement which may give rise to a liability, including a contingent liability in whatever form), if any, due or which may at any time in future become due between the Transferor Company and the Transferee Company shall, *ipso facto,* stand discharged and come to an end and there shall be no liability in that behalf on any party and the appropriate effect shall be given in the books of accounts and records of the Transferee Company.

10.4 Upon this Scheme coming into effect, all Taxes/ cess/ duties, direct and/or indirect, payable by or on behalf of the Transferor Company from the Appointed Date onwards including all or any refunds and claims, including refunds or claims pending with the revenue authorities and including the right to carry forward of accumulated losses, shall, for all purposes, be treated as the Tax/ cess/ duty, liabilities or refunds, claims, accumulated losses and credits pertaining to direct/ indirect Taxes (as applicable) of the Transferee Company.

10.5 Any reference in any security documents or arrangements (to which the Transferor Company is a party) to the Transferor Company and its assets and properties, shall be construed as a reference to the Transferee Company and the assets and properties of the Transferor Company transferred to the Transferee Company by virtue of this Scheme.

10.6 Without prejudice to the foregoing Clauses, the Transferee Company may execute any instruments and/or documents and/or do all the acts and deeds as may be considered appropriate, including the filing of necessary particulars and/or modification(s) of charge, with the Registrar of Companies, to give formal effect to the above provisions, if required.

10.7 Upon the coming into effect of this Scheme, the Transferee Company shall be liable to perform all obligations in respect of the Liabilities, which have been transferred to it in terms of this Scheme.

10.8 It is expressly provided that, save as herein provided, no other term or condition of the Liabilities transferred to the Transferee Company is amended by virtue of this Scheme, except to the extent that such amendment is required statutorily.

10.9 The provisions of this Clause 10 and Clause 11 shall operate notwithstanding anything to the contrary contained in any instrument, deed or writing or the terms of sanction or issue or any security document, all of which instruments, deeds or writings or the terms of sanction or issue or any security document shall stand modified and/or superseded by the foregoing Clauses.

11. ENCUMBRANCES

11.1 The transfer and vesting of the assets comprised in the Transferor Company to and in the Transferee Company under Clauses 9, 10 and 12 of this Scheme shall be subject to the Encumbrances, if any, affecting the same as hereinafter provided.

11.2 The Encumbrances, if any, existing prior to the Effective Date over the assets of the Transferor Company which secure or relate to the Liabilities, shall, after the Effective Date,

LARSEN & TOUBRO LIMITED * MUMBAI *

L&T POWER DEVELOPMENT LIMITED

without any further act, instrument or deed, continue to relate and attach to such assets or any part thereof to which they are related or attached prior to the Effective Date and as are transferred to the Transferee Company. Provided that if any of the assets of the Transferor Company have not been Encumbered in respect of the Liabilities, such assets shall, even on the operation of the Scheme, remain unencumbered and the existing Encumbrance, if any, referred to above shall not be extended to and shall not operate over such assets. Further, such Encumbrances, if any, shall not relate or attach to any of the other assets of the Transferee Company. The absence of any formal amendment which may be required by a lender or trustee or third party shall not affect the operation of the above. It is clarified that nothing in this Clause shall prevent the Transferee Company from creating any fresh Encumbrances on assets transferred in terms of this Scheme pursuant to the effectiveness of the Scheme.

11.3 The existing Encumbrances, if any, over the other assets and properties of the Transferee Company or any part thereof which relate to the Liabilities of the Transferee Company prior to the Effective Date shall continue to relate to such assets and properties and shall not extend or attach to any of the assets and properties of the Transferor Company transferred to and vested in the Transferee Company by virtue of this Scheme. This Scheme shall not operate to enlarge the Encumbrances, nor shall the Transferee Company be obliged to create any further or additional security after this Scheme has become effective or otherwise.

11.4 Any reference to the Transferor Company and its assets and properties in any security documents or arrangements (to which the Transferor Company is a party), shall be construed as a reference to the Transferee Company after the Effective Date. Without prejudice to the provisions of the foregoing Clauses and upon coming into effect of the Scheme, the Transferee Company may enter into and execute such other deeds, instruments, documents and/or writings and/or do all acts and deeds as may be required, including the filing of necessary particulars and/or modification(s) of charge, with the Registrar of Companies to give formal effect to the above provisions, if required.

12. CONTRACTS, DEEDS, APPROVALS, EXEMPTIONS ETC.

12.1 Upon the coming into effect of this Scheme and subject to the provisions of this Scheme and with effect from the Appointed Date, all contracts, schemes, arrangements, agreements, licenses, approvals, registrations, assurances, engagements, documents and writings of every description, policies, and other instruments of whatsoever nature ("**Contracts**"), to which the Transferor Company is a party or to the benefit of which the Transferor Company may be eligible, and which are subsisting or have effect immediately before the date on which this Scheme comes into effect, shall under the provisions of Sections 230 to 232 of the Act and all other applicable provisions of Applicable Law, if any, without any further act, instrument or deed, cost or charge and without any notice or other intimation to any third party, continue in full force and effect against or in favour, as the case may be, of the Transferee Company and may be enforced as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obligee thereto or thereunder. It shall not be necessary to obtain the consent of any third party or other person who is a party to any of the above to give effect to the provisions of this Clause 12.1 of this Scheme.

12.2 Without prejudice to the other provisions of this Scheme, the Board of the Transferor Company and the Transferee Company may at any time on or after the Effective Date, in accordance with the provisions hereof if so required under any Applicable Law or otherwise, take such actions and enter into and/or issue and/or execute such deeds (including deeds of adherence), instruments, confirmations, novations, sub-contracts or other writings or arrangements with any party to any contract or arrangement to which the

Transferor Company is a party, or any writings as may be necessary, in order to give formal effect to the provisions of this Scheme. The Transferee Company shall subject to the provisions of this Scheme, be deemed to be authorized to execute any such writings on behalf of the Transferor Company and to carry out or perform all such formalities or compliances referred to above on the part of the Transferor Company for the limited purpose of giving effect to the Scheme.

12.3 For the avoidance of doubt and without prejudice to the generality of the foregoing, it is clarified that upon the coming into effect of this Scheme and with deemed effect from the Appointed Date, all permits, rights, authorities, certificates (including no objection certificates, commencement certificates, occupation certificates, development certificates, title clearance certificates), clearances, exemptions, entitlements, facilities, registrations, licenses, permissions, approvals, consents, subsidies, status, incentives, grants, accreditations to trade and industrial bodies, powers, privileges (granted by any Governmental Authority or by any other person) in each case, of every kind and description of whatsoever nature, given by, issued to or executed in favour of the Transferor Company shall stand transferred to and vested in the Transferee Company without any further act or deed and by operation of law as if the same were originally given by, issued to or executed in favour of the Transferee Company, and the Transferee Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Transferee Company. The Transferee Company shall make necessary applications/ file relevant forms to any authority or person (including Governmental Authority) as may be necessary in this behalf and all authorities and persons (including Governmental Authority) shall endorse where necessary, and record the name of the Transferee Company in respect of the foregoing so as to empower and facilitate the approval and vesting of the aforesaid and continuation of operations in the Transferee Company without any hindrance whatsoever.

12.4 To the extent of any duplication in any of the consents, permissions, licenses, certificates, clearances, quotas, entitlements, accreditations to trade and industrial bodies, privileges, powers, facilities, grants, incentives, scheme, special status and other benefits or privileges, mentioned above, the Board of the Transferee Company shall, at its sole discretion, identify all such permits, rights, authorities, certificates (including no objection certificates, commencement certificates, occupation certificates, development certificates, title clearance certificates), clearances, exemptions, entitlements, facilities, registrations, licenses, permissions, approvals, consents, subsidies, status, incentives, grants, accreditations to trade and industrial bodies, powers, privileges (granted by any Governmental Authority or by any other person) which shall be cancelled or surrendered in such manner as may be prescribed by Applicable Laws.

13. LEGAL, TAXATION AND OTHER PROCEEDINGS

13.1 Upon the coming into effect of this Scheme, all disputes, suits, actions, and other proceedings of whatsoever nature including civil proceedings, criminal proceedings, any enquiry, investigation, inspection, appeal, applications, legal and Taxation proceedings or other proceeding of whatever nature (including before any courts, judicial body, statutory or quasi-judicial authority or tribunal) or Governmental Authority and any other authority under Applicable Laws as well as any notices, demands or claims which may give rise to such proceedings, by or against the Transferor Company, whether pending and/or arising on or before the Effective Date shall not abate or be discontinued or be prejudicially affected by reason of this Scheme or by anything contained in this Scheme and shall be continued and/or enforced by or against the Transferee Company as effectually and in the same manner and to the same extent as if the same had been instituted and/or pending and/or arising by or against the Transferee Company, as if this Scheme had not been made.

13.2 The Transferee Company shall have all legal, Taxation or other proceedings initiated by or against the Transferor Company referred to in Clause 13.1 above transferred to its name as soon as is reasonably possible after the Effective Date and have the same continued, prosecuted and enforced by or against the Transferee Company.

14. INTER-PARTY TRANSACTIONS

Without prejudice to the provisions of Clauses 9 to 13, with effect from the Appointed Date, all inter-party transactions between the Transferor Company and the Transferee Company shall be considered as intra-party transactions for all purposes.

15. ACTIONS TO GIVE EFFECT TO THE SCHEME

15.1 Without prejudice to the other provisions of this Scheme and notwithstanding the fact that vesting of the Undertaking occurs by virtue of this Scheme itself, the Transferee Company may, at any time after the coming into effect of this Scheme, in accordance with the provisions hereof, if so required under any law or otherwise, take such actions and execute such deeds (including deeds of adherence), confirmations, instruments, or other writings or arrangements as may be necessary in order to give formal effect to the provisions of this Scheme. The Transferee Company shall, under the provisions of this Scheme, be deemed to be authorised to execute any such writings on behalf of the Transferor Company and to carry out or perform all such formalities or compliances referred to above on the part of the Transferor Company.

16. CONDUCT OF BUSINESS FROM THE APPOINTED DATE TILL THE EFFECTIVE DATE

16.1 During the period between the Appointed Date and up to and including the Effective Date, except as may be agreed between the Companies in writing:

(a) The Transferor Company undertakes that it shall preserve and carry on its respective business in the ordinary course and consistent with past practices;

(b) the Transferor Company shall carry on and be deemed to have carried on all business and activities and shall hold and stand possessed of and shall be deemed to hold and stand possessed of all its estates, assets, rights, title, interests, authorities, contracts, investments, and strategic decisions pertaining to the Undertaking of the Transferor Company for, and on account of, and in trust for, the Transferee Company;

(c) all profits and income accruing or arising to the Transferor Company, and losses and expenditure arising or incurred by it (including Taxes but not limited to advance Tax, Tax deducted at source, minimum alternate Tax, securities transaction Tax, Taxes withheld/paid in a foreign country, etc.) for the period commencing from the Appointed Date shall, for all purposes, be treated as and be deemed to be the profits, income, losses or expenditure (including Taxes), as the case may be, of the Transferee Company, to be computed, assessed and, where applicable, subjected to set-off, carry-forward or credit strictly in accordance with the provisions of the Income Tax Act and other applicable Tax Laws;

(d) any of the rights, powers, authorities or privileges exercised by the Transferor Company shall be deemed to have been exercised by the Transferor Company for and on behalf of, and in trust for, and as an agent of the Transferee Company. Similarly, any of the obligations, duties and commitments that have been undertaken or discharged by the Transferor Company shall be deemed to have been

undertaken for and on behalf of, and as an agent of the Transferee Company; and

(e) all Taxes (including, without limitation, income Tax, minimum alternate Tax, goods and service Tax, other indirect Taxes as applicable prior to July 1, 2017, customs duty, minimum alternate Tax credit, advance Tax, Taxes withheld/paid in foreign country, securities transaction Tax, or otherwise), stamp duty and registration charges, paid or payable by the Transferor Company in respect of the operations and/or the profits of the Transferor Company with effect from the Appointed Date, shall be deemed to be the corresponding item paid by the Transferee Company, and, shall, in all proceedings, be dealt with accordingly, subject in each case to the provisions of the Income Tax Act and other applicable Tax Laws.

16.2 Subject to the terms of the Scheme, the transfer and vesting of the Undertaking as per the provisions of the Scheme, shall not affect any transactions or proceedings already concluded by the Transferor Company on or before the Appointed Date or after the Appointed Date until the Effective Date, and the Transferee Company accepts and adopts all acts, deeds and things made, done and executed by the Transferor Company as acts, deeds and things made, done and executed by or on behalf of the Transferee Company.

17. TAXES/DUTIES/CESS ETC.

17.1 With effect from the Appointed Date, all Tax paid (including advance Tax and self-assessment Tax), income Tax refund due or receivable, Tax deducted at source, minimum alternate Tax, wealth Tax, depreciation, pending balances of amortisations, Tax holiday benefits, incentives, credits (including Tax credits), minimum alternate Tax credit entitlement, claims for unabsorbed tax depreciation etc., and any rights/refunds under Income Tax Act, including applications for rectification or appeals filed with Tax authorities, all direct and indirect taxes of any nature, duties and cess or any other like payment, including without limitation income tax, security transaction tax, foreign tax credit, equalization levy, value added tax, central sales tax, excise duty, customs duty, advance tax, goods and services tax, tax deducted at source or tax collected at source or any other like payments made of the Transferor Company, shall, under the provisions of Sections 230 to 232 and other applicable provisions, if any, of the Act, by operation of law pursuant to the order of the NCLT sanctioning the Scheme without any further act or deed, be transferred to or be deemed to be transferred to the Transferee Company and shall be capable of being claimed and dealt with the Transferee Company, as the case may be, and the Transferee Company shall be entitled to claim credit, refund or adjustment for the same, as may be applicable, in accordance with and subject to the provisions of the Income Tax Act and other applicable Tax Laws (including through a modified return of income in ITR-A under Section 314 of the Income Tax Act, where required).

17.2 If the Transferor Company is entitled to any unutilised credits (including balances or advances), benefits, subsidies, grants, special status, any tax incentives, advantages, privileges, exemptions, credits, entitlements (including without limitation credits in respect of closing balance of value added tax, central sales tax, excise duty, turnover tax, goods and services tax, security transaction tax, and duty entitlement credit certificates), holidays, remissions, reductions and other benefits or privileges of whatsoever nature under any incentive schemes and policies, including Tax holiday or concessions under any Tax laws or other Applicable Law, the Transferee Company shall be entitled to claim such benefit or incentives or unutilised credits, as the case may be, to the extent and in the manner permissible under the relevant Tax Laws and subject to satisfaction of the conditions prescribed thereunder.

17.3 The Transferee Company shall undertake all necessary compliances prescribed under Applicable Laws to, and the Transferor Company shall extend its cooperation to the Transferee Company to, effectuate transfer of all tax credits, including goods and services tax, of the Transferor Company pertaining to the Undertaking, to the Transferee Company.

17.4 Upon this Scheme being effective, the Transferee Company is expressly permitted to file where required, a modified income tax return in Form ITR-A under Section 314 of the Income Tax Act and other statutory returns, including Tax deducted/collected at source returns, service Tax returns, excise Tax returns, sales Tax/value added Tax/goods and services Tax returns, as may be applicable and has expressly reserved the right to make such provision in its returns and to claim refunds or credits etc., if any. Such returns may be revised and filed notwithstanding that the statutory period for such modification may have expired. For the avoidance of doubt, such modification of return pursuant to Section 314 of the Income Tax Act, in accordance with an NCLT-sanctioned scheme, shall not be regarded as a revision of return for the purposes of Section 263 of the Income Tax Act, consistent with Applicable Law.

17.5 Any dividends declared and paid by the Transferor Company after the Appointed Date shall be dealt with in accordance with Applicable Law, and nothing in this Scheme shall be construed as conferring any exemption or ruling under the Income Tax Act.

17.6 To the extent permitted under Applicable Law and subject to assessment and appellate proceedings, any accumulated losses under the head 'capital gains' standing in the books of the Transferor Company as at the Appointed Date in respect of the Undertaking are intended to be available to the Transferee Company as its own, on the basis of succession upon Amalgamation as sanctioned by the NCLT. The inclusion of this clause shall not, by itself, be construed as conferring any tax benefit or overriding the provisions of the Income Tax Act and the allowability and quantum of any such losses shall be determined in accordance with Applicable Law. It is hereby clarified that nothing in this Scheme shall, by itself, be construed as conferring or assuring the availability in the hands of the Transferee Company of any carried-forward business losses or unabsorbed depreciation of the Transferor Company, which shall continue to be governed by, and allowed or disallowed strictly in accordance with, Section 116 of the Income Tax Act and other applicable provisions. To the extent permitted under Applicable Law and subject to assessment and appellate proceedings, the Transferee Company reserves the right to contend that any accumulated losses under the head "capital gains" standing in the books of the Transferor Company as at the Appointed Date, to the extent relating to the Undertaking, are available to and may be claimed by the Transferee Company on the basis of succession pursuant to the Amalgamation as sanctioned by the NCLT; and the inclusion of this enabling clause in the Scheme shall not, by itself, be construed as overriding the provisions of the Income Tax Act.

PART III - DISSOLUTION OF TRANSFEROR COMPANY, ACCOUNTING TREATMENT AND OTHER TERMS AND CONDITIONS

18. COMBINATION OF AUTHORISED SHARE CAPITAL

18.1 As an integral part of this Scheme and upon the Amalgamation of the Transferor Company with the Transferee Company coming into effect on the Effective Date and with effect from the Appointed Date, the authorised share capital of the Transferor Company shall stand combined and merged with the authorised share capital of the Transferee Company pursuant to the provisions of Section 232(3) of the Act and consequently the authorised share capital of the Transferee Company shall stand increased without any further act, instrument or deed on the part of the Transferee Company, including payment of any stamp duty, registration fee or filing fee to the Registrar of Companies on such combined

authorised share capital. The approval of the shareholders of the Transferee Company to this Scheme shall be deemed to be sufficient for the purpose of effecting this amendment and no further resolution under the applicable provisions of the Act shall be required to be separately passed.

18.2 Upon the Scheme becoming effective, the Memorandum of Association of the Transferee Company (Clause V, relating to authorised share capital) shall stand modified to reflect the combined authorised share capital of the Transferor Company and the Transferee Company, such that Clause V of the Memorandum of Association of the Transferee Company shall be replaced by the following:

"The Authorized Share Capital of the Company is INR 1,20,74,50,00,000 comprising of, 60,37,25,00,000 equity shares of INR 2 each."

18.3 The Transferee Company shall, if required, file all necessary documents and intimations with the Registrar of Companies in respect of the aforesaid amendment and increase in authorised share capital. For the avoidance of doubt, it is clarified that in the event the authorised share capital of the Transferor Company and/or the Transferee Company undergoes any change prior to the Effective Date, this Clause shall stand automatically modified and adjusted to take into account the effect of such change.

19. ACCOUNTING TREATMENT

19.1 Accounting in the books of Transferee Company

Upon coming into effect of this Scheme and with effect from the Appointed Date, the Transferee Company shall account for the Amalgamation in its books of accounts in accordance with the pooling of interest method for common control business combinations, taking into consideration the Appendix C of Indian Accounting Standards 103 – 'Business Combinations' and the applicable provisions of the Act as may be applicable. It would, *inter alia,* include the following:

(a) All the assets including intangible assets, and liabilities of the Transferor Company shall stand transferred to and vested in the Transferee Company pursuant to this Scheme and shall be recorded in the books of accounts of the Transferee Company at the carrying value and in the same form as recorded in the books of the Transferor Company.

(b) The identity of the reserves of the Transferor Company, shall be preserved and they shall appear in the financial statements of Transferee Company in the same form, in which they appeared in the financial statements of Transferor Company.

(c) The inter-corporate investments / holdings / balances / deposits / loans and advances, if any, between the Transferee Company and the Transferor Company will stand cancelled and there shall be no further obligation on that behalf.

(d) In case there is any difference in the accounting policies adopted by the Transferor Company and the Transferee Company, the accounting policies followed by the Transferee Company will prevail and the difference will be quantified and adjusted in the capital reserves of the Transferee Company, to ensure that the financial statements of the Transferee Company reflect the financial position on the basis of a consistent accounting policy.

(e) Upon this Scheme becoming effective, the financial information in the financial statements of the Transferee Company in respect of prior periods will be restated

as if Amalgamation had occurred from (a) the beginning of the preceding period in the financial statements or (b) the date when control was acquired, whichever is later.

19.2 Accounting in the books of Transferor Company

The Transferor Company shall stand dissolved without being wound up upon this Scheme becoming effective. Due to this, there is no accounting treatment prescribed under this Scheme in the books of accounts of the Transferor Company.

20. DIVIDENDS

20.1 The Companies shall be entitled to declare and pay dividends, whether interim or final, to their respective shareholders, in respect of the accounting period prior to the Effective Date.

20.2 Prior to the effectiveness of the Scheme, the shareholders of the Companies shall, save as expressly provided otherwise in this Scheme, continue to enjoy their existing rights under their respective articles of association, including the right to receive dividends and any other rights associated with their shareholding in the relevant Company.

20.3 It is clarified that the aforesaid provisions in respect of declaration of dividends are enabling provisions only and shall not be deemed to confer any right on any shareholder of the Transferor Company and/or the Transferee Company to demand or claim any dividends which, subject to the provisions of the Act, shall be entirely at the discretion of the respective Boards of the Transferor Company and the Transferee Company, and subject to the approval, if required, of the shareholders of the Transferor Company and the Transferee Company, respectively.

21. APPLICATIONS

21.1 The Companies shall make necessary applications and petitions before the NCLT under Sections 230 and 232 of the Act and any other applicable provisions of law, for sanction of the Scheme under the provisions of Applicable Law and obtain such other approvals, as required by law.

21.2 The Companies shall be entitled, pending the effectiveness of the Scheme, to apply to any Governmental Authority or any other authority, if required, under any Applicable Law for such consents and approvals, which the Companies may require to effect the transactions contemplated under this Scheme, subject to the terms as may be mutually agreed between the Companies.

22. MODIFICATIONS OR AMENDMENTS TO THE SCHEME

22.1 The Companies (through their respective Boards), in their full and absolute discretion, jointly and mutually agree in writing to:

(a) assent to any alteration(s) or modification(s) to this Scheme which the NCLT and/or any other Governmental Authority (including, without limitation, the Registrar of Companies) may deem fit to approve or impose and to do all acts, deeds and things as may be necessary, desirable or expedient, for the purposes of this Scheme;

(b) give such directions (acting jointly) as they may consider necessary to settle any question or difficulty arising under this Scheme, including in relation to the meaning or interpretation of this Scheme or implementation thereof, or in any

matter whatsoever connected therewith,

(c) jointly review the position relating to the satisfaction of various conditions of this Scheme and if necessary, waive any of those (to the extent permissible under Applicable Law);

(d) jointly modify or vary this Scheme prior to the Effective Date in any manner and at any time, provided that such modification or variation is in the interests of the Companies, subject to prior approval of the NCLT;

(e) jointly withdraw this Scheme prior to the Effective Date in any manner and at any time;

(f) determine jointly whether any asset, liability, legal or other proceedings pertains to the Transferor Company or not, on the basis of any evidence that they may deem relevant for this purpose; and/or

(g) make any modification to the Scheme, after receipt of sanction by the NCLT, only with the prior approval of the NCLT.

22.2 The Companies agree that if, at any time, either of the NCLT or any Governmental Authority directs or requires any modification or amendment of this Scheme, such modification or amendment shall not, to the extent it adversely affects the interests of any of the Companies, be binding on such Company, as the case may be, except where the written consent of the affected party, *i.e.,* the Transferor Company or the Transferee Company, has been obtained for such modification or amendment.

23. CONDITIONS TO THE SCHEME

This Scheme is conditional upon and subject to:

(a) the Scheme being approved by the requisite majority of members of the Transferor Company and such other classes of persons, if any, as may be required or directed by the NCLT.

(b) the NCLT having accorded its sanction to the Scheme in terms of Sections 230 to 232 and other relevant provisions of the Act.

(c) the certified copy of the order of the NCLT approving the Scheme being filed with the Registrar of Companies.

(d) such other approvals or consents, including approval or consent of any other Governmental Authority or third party, if any, as may be required by law in respect of this Scheme or any part thereof being obtained.

If and when this Scheme comes into effect upon the satisfaction (or waiver, as the case may be) of the conditions mentioned in this Clause 23, such date being the Effective Date, the last of the dates on which all the conditions mentioned above are fulfilled shall be deemed to have taken effect on the Appointed Date.

24. DISSOLUTION OF TRANSFEROR COMPANY

Upon the coming into effect of the Scheme, the Transferor Company shall stand dissolved without being wound up and without any further act or deed, and the Board of the Transferor Company shall without any further act, instrument or deed, be and stand

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discharged.

25. ACTIONS POST SANCTION OF THE SCHEME

25.1 Upon the coming into effect of this Scheme, the resolutions, if any, passed by the Board or shareholders of the Transferor Company, which are valid and subsisting on the date on which this Scheme comes into effect, shall continue to be valid and subsisting and be considered as resolutions of the Transferee Company and if any such resolutions have any monetary limits approved under the provisions of the Act, or any other applicable statutory provisions, then the said limits shall be added to the limits, if any, under like resolutions passed by the Transferee Company and shall, subject to Applicable Laws, constitute the aggregate of the said limits. Any corporate approvals obtained by the Transferor Company, whether for purposes of compliance or otherwise, shall stand transferred to the Transferee Company and such corporate approvals and compliance shall be deemed to have been obtained and complied with by the Transferee Company.

26. RESIDUAL PROVISIONS

26.1 Even after the Scheme becomes effective, the Transferee Company shall be entitled to operate all bank accounts of the Transferor Company and realise all monies and complete and enforce all pending contracts and transactions in respect of the Transferor Company in the name of the Transferor Company, in so far as may be necessary until the transfer of rights and obligations of the Transferor Company to the Transferee Company under this Scheme is formally accepted by the Companies. For avoidance of doubt, it is hereby clarified that with effect from the Effective Date and until such time that the name of the bank accounts of the Transferor Company have been replaced with that of the Transferee Company, the Transferee Company shall be entitled to operate the bank accounts of the Transferor Company in the name of the Transferor Company in so far as may be necessary.

(a) Pursuant to the Scheme becoming effective, the Transferee Company is expressly permitted to modify, as may be required by Applicable Law, its financial statements and returns along with prescribed forms, filings and annexures under the Income Tax Act (including for minimum alternate Tax purposes and Tax benefits), service Tax law, goods & service Tax and other Tax Laws, and to claim refunds and/or credits for Taxes paid (including minimum alternate Tax, goods & service tax), and to claim Tax benefits under the applicable Tax Laws, and for matters incidental thereto, in each case in accordance with and subject to the provisions of such Tax Laws (including Section 314 of the Income Tax Act in relation to modified returns of income).

(b) The Transferee Company, shall, at any time after this Scheme becoming effective in accordance with the provisions hereof, if so required under Applicable Law or otherwise, do all such acts or things as may be necessary to either surrender or transfer/obtain the approvals, consents, exemptions, registrations, no-objection certificates, permits, quotas, rights, entitlements, licenses and certificates which were held or enjoyed by the Transferor Company. It is hereby clarified that if the consent of any third party or Governmental Authority, if any, is required to give effect to the provisions of this Clause, the said third party or Governmental Authority shall make and duly record the necessary substitution/endorsement in the name of the Transferee Company pursuant to the sanction of this Scheme, and upon this Scheme becoming effective in accordance with the provisions of the Act and with the terms hereof. For this purpose, the Transferee Company shall file appropriate applications/documents with relevant authorities concerned for information and record purposes.





(c) Without prejudice to the other provisions of the Scheme, in order to ensure implementation of the provisions of the Scheme and continued vesting of the benefits in favour of the Transferee Company, the Transferee Company may, at any time after the coming into effect of this Scheme in accordance with the provisions hereof, if so required, under Applicable Law or otherwise, unilaterally take all such actions, including execute deeds (including deeds of adherence), confirmations or other writings or tripartite arrangements with any party to any contract or arrangement in relation to which the Transferor Company has been a party, including any filings with the regulatory authorities in order to give formal effect to the above provisions and to carry out or perform all such formalities or compliances referred to above on the part of the Transferor Company.

(d) It is hereby clarified that any actions required to be taken by the Transferor Company under the Scheme, pursuant to the Amalgamation and dissolution of the Transferor Company shall be discharged by the Transferee Company as its successor.

27. EFFECT OF NON-RECEIPT OF APPROVALS

27.1 In the event where one or more of the conditions set forth in Clause 23 are not satisfied (or to the extent permissible under Applicable Laws, waived), this Scheme shall be automatically revoked, cancelled and rendered of no effect and the Companies, if required, may file appropriate proceedings before the NCLT and other Governmental Authorities in this respect. Provided however, that the Companies may, by mutual consent of their Boards, defer the termination of this Scheme until such period as they may deem fit.

27.2 Upon the termination of this Scheme as set out in Clause 27.1 above, no rights and liabilities shall accrue to or be incurred by the respective Companies or their shareholders or creditors or employees or any other person, save and except in respect of any act or deed done prior thereto as is contemplated hereunder or as to any rights and/ or liabilities which might have arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out as is specifically provided in this Scheme or as may otherwise arise in law.

27.3 Without prejudice to the generality of the aforesaid Clause, the Companies (jointly and not severally) shall be at liberty to withdraw this Scheme at any time as may be mutually agreed by the respective Boards of the Companies prior to the date on which this Scheme comes into effect.

27.4 The Board of the Companies shall be entitled to revoke, cancel and declare the Scheme to be of no effect if they are of the view that the coming into effect of the Scheme with effect from the Appointed Date could have adverse implications on the Companies.

28. REMOVAL OF DIFFICULTIES

28.1 The Companies, acting through their respective Boards, jointly and as mutually agreed in writing may:

(a) give such directions and agree to take steps, as may be necessary, desirable or proper, to resolve all doubts, difficulties or questions arising under this Scheme, whether by reason of any orders of NCLT or of any directive or orders of any Governmental Authority, under or by virtue of this Scheme in relation to the amalgamation contemplated in this Scheme and/ or matters concerning or connected therewith or in regard to and of the meaning or interpretation of this Scheme or implementation thereof or in any manner whatsoever connected therewith, or to review the position relating to the satisfaction of various conditions

of this Scheme and if necessary, to waive any of those to the extent permissible under Applicable Laws; and/ or

(b) do all such acts, deeds and things as may be necessary, desirable or expedient for carrying this Scheme into effect.

29. SEVERABILITY

29.1 The provisions contained in this Scheme are inextricably inter-linked with the other provisions and the Scheme constitutes an integral whole. The Scheme would be given effect to only if it is approved in its entirety unless specifically agreed otherwise by the respective Boards of the Companies.

29.2 If any part of this Scheme is found to be unworkable for any reason whatsoever, such part shall not, subject to the mutual agreement of the Companies in writing, affect the validity or implementation of the other parts and/or provisions of this Scheme.

30. COSTS

30.1 The Transferee Company shall bear the costs, charges and expenses in relation to or in connection with or incidental to this Scheme.

30.2 The stamp duty and transfer charges, if any, arising in relation to the transfer or vesting of the properties, assets, rights, title or interest transferred pursuant to this Scheme shall be borne and paid by the Transferee Company.

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For LARSEN & TOUBRO LIMITED

SUBRAMANIAN NARAYAN
COMPANY SECRETARY &
COMPLIANCE OFFICER
ACS-16354

L&T POWER DEVELOPMENT LIMITED

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For L&T POWER DEVELOPMENT LIMITED

Company Secretary